

Module 4

Business Management

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1

According to the diffusion of innovation model, there are five consumer segments that Fuzzy should pay attention to when producing new technological products.

1. Innovators

These are the first to adopt an innovation, usually the youngest in age, with the highest social class and greater financial fluidity. Moreover, they are venturesome and interested in new innovation, technology, and products.

Fuzzy should study if there are innovators in its customer profile.

2. Early adopters

These adopt innovation after innovators, and are young in age with higher social status and advanced education. Moreover, they usually act as opinion leaders in most social circles and they enjoy sharing their experiences and knowledge with their social groups.

Fuzzy should also target their new technological products to this group of consumers so that early adopters can spread good word of mouth.

3. Early majority

This group adopts an innovation before the average person. They do not always take up a leadership role in groups. They spend more time in adopting an innovation than innovators and early adopters. Moreover, they will make contact with early adopters for opinions when deciding to adopt new ideas and products.

Fuzzy should develop good connections with early adopters so that they are willing to convince and promote the new products to the early majority.

4. Late majority

These adopt innovation after the majority of society. They belong to a sceptical group that adopt an innovation only after most others have already adopted it. Their social status is below average with very little financial lucidity, and they seldom take up an opinion leadership role within a social group.

Fuzzy needs to maintain its new product stability and emphasise the benefits to attract the late majority to adopt their new products.

5. Laggards

These are traditionalists who are the last to adopt an innovation. They are conservative and focused on the past. They tend to be advanced in age, with the lowest social status and the lowest financial fluidity.

Fuzzy may not need to spend a lot of resources on this group of consumers.

Answer 2(a)

F&D has adopted preventive controls.

Preventive controls attempt to stop an error or irregularity before it occurs. In F&D, they have set up a comprehensive system to monitor the procurement and logistics of the food supplies and to meet with employees regularly to communicate the target of each month. These help ensure every aspect of F&D is on the right track and they help prevent errors from occurring.

Answer 2(b)

F&D exercises four functions of management with the following illustration:

Planning

Planning function refers to the process of setting short- and long-term goals, devising appropriate strategies, and making decisions on the best course of action and how to obtain the resources needed to achieve the organisation's goals.

F&D monitors the market environment and formulates appropriate strategies for the whole business. Moreover, they create an organisational culture that lets their employees work happily in the work environment.

Organising

Organising involves actions and decisions related to the implementation of plans and having a team of people, and obtaining the needed resources, to carry out the plans.

F&D provides induction training for new hires to familiarise themselves with the organisational culture of the company and to socialise with the existing staff to facilitate daily work activities.

Leading

Leading involves the leadership ensuring that activities go as planned, which involves effective communication and motivating employees and team members to work towards shared goals.

F&D asks experienced staff members to monitor and advise new hires on their job duties, which can develop their work skills and ensure the quality of their work.

Controlling

Controlling function involves all monitoring activities and processes for measuring results against goals and making corrective actions when needed.

F&D develops a comprehensive system to monitor the procurement and logistics of the food supplies and meets with employees each month to communicate the set targets with them.

Answer 3(a)

The service element adopted by Rose is error/ defects control.

Rose introduced technology to ensure the accuracy of on-time flight schedules and related procedures, which can help to reduce company service failures.

Answer 3(b)

The functions of human resource management involved in Rose are as follows:

Recruitment

The good organisational culture developed in Rose helps to attract candidates to work in the company. Rose recruits employees through both external and internal recruitment methods.

External recruitment at Rose includes job advertisements posted on the company website. Internal recruitment at Rose includes employee promotions and employee transfers.

Induction, training, and development

All new hires at Rose are required to attend induction training, and all employees are provided periodic training and refresher courses to update their skills and knowledge.

Training contents include safety issues and skills related to providing professional services.

Payroll or compensation and benefits

Rose provides attractive compensation and benefits packages to its employees. Employees are eligible to obtain bonus pay and receive salary adjustments based on appraisal results.

Moreover, in-flight crew members receive attractive outport allowance. Senior employees are also eligible for stock options.

Answer 4(a)

All organisations, groups, and persons that a business interacts with are known as stakeholders because they have a direct interest or "stake" in the company's behaviour and performance. The company's decisions and actions often also have an effect on the stakeholders in some way.

Answer 4(b)

The factors to be considered when dealing with conflicting stakeholder interests are to assess the following:

1. Stakeholder power
This refers to the capacity of the stakeholder to positively or negatively affect the operations of the organisation.
2. Demand legitimacy
This is the level of validity a stakeholder's demand has.
3. Issue urgency
This deals with the extent to which the issues require immediate attention or action.

Answer 4(c)

The stakeholders in making financial decisions include the following:

1. Financial institutions
These institutions serve as intermediaries between lenders, savers, investors, and borrowers, and can be classified into depository institutions, which accept deposits that customers can withdraw on demand, and non-depository financial institutions.

Deposit-taking institutions include commercial banks, saving institutions and credit unions. Non-deposit-taking institutions include insurance companies, stock brokerages, mutual funds, finance companies, asset management firms and investment banks.
2. Corporations
When the company has any new development, such as either acquiring a new company or proceeding with any new project, the company will conduct a business valuation to assess whether this new project is of good value to the company's financial situation.

3. Investors

Business can start with cash from a personal savings account or a loan from a family member to develop the business. But when they want to look for greater sums of money in order to continue operating and grow, they need assistance from venture capital, which is money invested in the small business by another business firm or group of individuals in exchange for an ownership share.

4. Activists

These are individuals or groups that have raised large sums of money and typically purchase large numbers of a company's shares of stock to obtain greater control over the company's business. Greater control comes with getting a seat or multiple seats on a company's board of directors, and thus, this gives activists the greatest opportunity to influence business decisions and possibly increase the company's stock price.

Answer 5(a)

The product life cycle has four stages:

1. Introduction

This stage refers to when the product is first introduced to the marketplace. To inform consumers about the product, the company often needs to invest in promotional activities. Substantial profits do not usually occur until later, as sales in the introduction stage need to offset promotional and product development costs.

2. Growth

This is when the product gains increasing popularity and sales, thus generating more profits. As competitors enter the market with similar products, the rate of growth of a particular company's sales and profits is likely to slow.

3. Maturity

This is when consumers begin to lose interest in the product because newer alternatives, some of which may be superior, are available. At this stage, the sales and profitability of the product peak and start to fall, and the company must decide what to do with the product.

4. Decline

This is when the product's sales and profits decline. There may not be a lot of interest in the product anymore, and it is losing its competitive edge against alternatives.

The E&F application is in the growth stage.

This is because some competitors with similar applications have started to enter the market, leading to the slow growth of the profits of E&F.

Answer 5(b)

Globalisation has become important for E&F as most of the food ingredients are sourced from other countries, and with the slowing growth of revenue E&F should also look for global opportunities to expand its retail business.

Answer 5(c)

The considerations E&F has to take into account when entering a new country are shown below:

Regulatory requirements

The difference in the legal regulations may create difficulties in managing business in other countries. For examples, these may include integration practices and business ownership, negotiation, and implementation of contracts, handling of foreign exchange, and protection of intellectual property, such as trademarks of E&F.

Cultural diversity

There may be intrinsic differences in values and cultural practices from country to country. This will be evident in the attitudes that E&F has to consider when employing workers in the host country.

Political environment

Political stability is an important factor for business investment and expansion. E&F should enter a country with a stable political environment which can ensure E&F have consistent growth.

Economic environment

E&F should also consider entering a country with stable economic growth and sufficient demand from the customers of their products. Moreover, E&F may consider choosing a country which has signed regional economic alliances, where nations agree to work together for economic gains - for example, ASEAN and APEC.

Answer 5(d)

The potential risks that E&F should pay attention to when entering international markets include:

1. Financial risks
These include issues related to liquidity, debt, credit, and the overall economic outlook. When entering international markets, E&F may need to borrow money to finance the expansion.
2. Market risk
This refers to the uncertainties in market prices which can go up or down. E&F may not have good knowledge of the market demand and supply in a foreign market and, thus, this risk may be quite prevalent.
3. Credit risk
Credit risk refers to the contractual arrangements involved by E&F with the foreign suppliers or any partners that fail to repay the amount due or that go bankrupt.
4. Operational risks
These include failures in internal processes or systems, human error, and safety for employees and other stakeholders, as well as changes in government policies regarding issues such as pollution, safety, and hazardous waste.

In foreign countries, E&F should pay attention to all changes from the host government policies and the operation of the systems when running the application and producing the fitness food products for consumers.

Answer 6(a)

Services are distinct from products because of the following dimensions:

1. Intangible
Services are intangible as they cannot be seen or touched in the way that a physical object can. Thus logos, taglines, and other marketing tactics leaving a lasting impression are more important for services. Ng Wah has to make sure their consulting services can produce memorable experiences for their clients.
2. Inseparable
Services cannot be inventoried. This means a service cannot be inspected prior to sale in the way a physical product can. Quality control and operations therefore become more difficult, and often services can fail to deliver consistent quality. Ng Wah needs to closely monitor and regularly train its staff members to provide consistent and quality consulting services to their clients.

3. **Perishable**
Services are generally produced and consumed at the same time. By delivering consistent, high-quality services, an organisation ensures that expectations are met. Thus, Ng Wah should invest in extensive employee training, setting operating procedures and standardised materials, equipment, and physical environments that help increase service quality and consistency.
4. **Variable**
Services are variable because they are performed by humans. Humans can be affected by many factors, including emotions and physical conditions, among others, and thus, no service can be delivered twice in exactly the same way. In order to measure service quality, it is important to consider reliability and consistency. Ng Wah needs to formulate a good service design to strive for predictability of its consulting services provided to clients.

Answer 6(b)

The dimensions of quality for manufactured products that Ng Wah consumers may look for include the following:

1. **Performance**
This is the basic operating characteristics of a product. For example, how well do the electronic components produced by Ng Wah function.
2. **Features**
The “extra” items added to the basic model. For example, is there any automatic cooling function produced by Ng Wah's electronic components?
3. **Reliability**
The probability that a product will operate properly within an expected time frame. For example, Ng Wah's electronic components cannot be damaged and malfunctioned by normal use and installation.
4. **Conformance**
The degree to which a product meets the pre-established standards. Thus, the stability of the function of electronic components installed in power supply devices should be the same as those installed in other digital devices.
5. **Durability**
How long the product lasts; its life span before replacement. Ng Wah's electronic components should consider life span as well. A short life span may not be welcomed by consumers.
6. **Serviceability**
The ease of getting repairs, the speed of repairs, and the courtesy and competence of the technician. Ng Wah should also make sure of the efficiency of the retail and after-sales services of their electronic components.

7. **Aesthetics**
How a product looks, feels, sounds, smells, or tastes. Since most of the electronic components are installed inside the machine or devices, whether the components are light in weight and small in size would be the major concern to Ng Wah.
8. **Safety**
Assurance that the customer will not suffer injury or harm from a product. Ng Wah should make sure their electronic components are of good quality and no injury or damage to the devices or customers are incurred.
9. **Other perceptions**
Subjective perceptions based on brand name, advertising and the like. Ng Wah may also need to consider its company image and brand awareness among target customers.

* * * END OF EXAMINATION PAPER * * *